Deloitte.

Check out the latest US economic forecast

Explore all Economics content on *Deloitte Insights*

US Economic Update: July 6, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	1-Jul-26	26-Jun-26	25-Jun-26	24-Jun-26	17-Jun-26	16-Jun-26
	1.2	1.2	2.5	3.1	3.0	2.8

Job growth slowed in June and unemployment fell to 4.2%

- Total non-farm payrolls rose by 57,000 in June, down from an increase of 129,000 in May. Job gains in June were largely concentrated in a handful of sectors, led by health care and social assistance (46,600) and professional and business services (36,000). Payroll growth across most other sectors was either flat or declined during the month. Leisure and hospitality, a sector that had been a steady source of overall job growth in the economy over the past four years, reversed course in June: Payrolls in the sector fell by 61,000 last month. Low non-farm payrolls growth in June breaks a string of healthy gains in the previous three months, indicating that there are still weaknesses in the labor market. It will also likely soften expectations of any interest rate hike by the Federal Reserve in July despite elevated inflation risks.
- Data from a separate survey of households by the Bureau of Labor Statistics showed that the unemployment rate edged down to 4.2% in June from 4.3% in the previous month. The decline was driven in part by a shrinking labor supply, with the labor force participation rate falling to 61.5% in June, its lowest level since March 2021. Net inflows into the labor force have fallen by about 2.1 million in the first six months of 2026. A sharp drop in net immigration since 2025 combined with an ageing population will continue to weigh on labor supply growth in the United States in the medium to long term.
- Wages continue to increase at a steady pace. In June, average hourly earnings in the private sector rose 0.3%, the same pace of growth as the previous month. Compared to a year ago, earnings rose 3.5% in June. Although wage growth remains healthy, especially compared to the pre-pandemic decade, rising inflation will erode workers' purchasing power.
- The job opening rate in the private sector remained steady at 4.8% in May. The rate was highest in professional and business services (6.2%), followed by health care and social assistance (5.6%). The hiring rate fell to 3.5% in May, while the layoff rate remained unchanged at 1.2% during the month. These trends suggest that businesses remain cautious about hiring and layoffs.
- Consumer confidence, as measured by the Conference Board, rose to 91.2 in June from 90.6 in May. Easing oil prices helped temper inflation concerns and improve expectations for business conditions, although worries about the labor market persisted.

Figure 1. Total non-farm payrolls increased by 57,000 in June, the slowest pace of job gains in the last four months

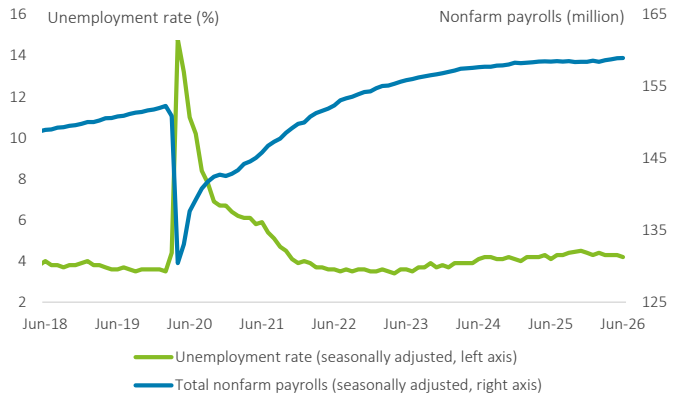
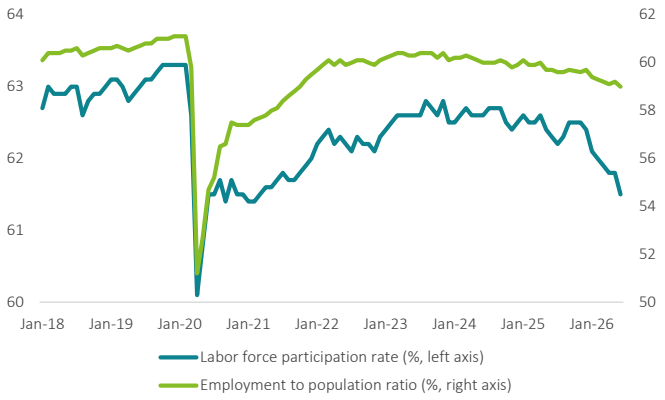


Figure 2. The labor force participation rate fell to 61.5% in June, its lowest level since March 2021



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jun change	3-month avg ch	12-month avg ch	Trend
57,000	111,000	42,000	

Unemployment rate

Jun value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	-0.1	-0.1	

Real disposable personal income

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	-0.4	0.0	

Real personal consumer expenditure

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.1	

Nominal retail sales

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.9	3.0	6.9	

Conference Board consumer confidence index

Jun value	1-month ch	3-month ch	Trend
91.2	0.6	-1.0	

Housing permits

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.9	-8.4	-0.4	

Manufacturing industrial production

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	1.0	1.4	

Shipments of core capital goods

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	2.0	7.6	

Trade balance

Apr value (US$ billion)	1-month ch	3-month ch	Trend
-55.9	0.7	-1.7	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
2.1	0.5	2.7	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jul 2	1-week ch (%)	1-year ch (%)	Trend
7483.2	1.7	19.2	

Treasury yield spread (10 yr - 2 yr)

Spread on Jul 2	1-month ch(ppts)	3-month ch(ppts)	Trend
0.35	-0.07	-0.2	

CBOE volatility index (VIX)

VIX on Jul 2	1-week ch	4-week ch	Trend
16.2	-2.7	0.1	

Kansas City Fed financial stress index (KCFSI)

Jun index	1-month ch	3-month ch	Trend
-0.8	0.1	-0.2	

Inflation

Consumer price index (CPI)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	2.0	4.2	

Core CPI (CPI excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	2.9	

Core PCE (PCE price index excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.9	3.4	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.